

21STCV00939 21STCV00939

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Case Number: 21STCV00939 Hearing Date: September 14, 2026 Dept: 406

HOLLYWOOD & VINE RESIDENCES
ASSOCIATION,

Plaintiff,

v.

HEI/GC HOLLYWOOD & VINE CONDOMINIUMS
LLC, et al.,

Defendants.

Case No.: 21STCV00939

Hearing Date: September 14, 2026

[TENTATIVE]

order RE:

cross-defendant pan pacific mechanical,
llc's demurrer to cross-complaint

BACKGROUND

On January 11, 2021, Plaintiff
Hollywood & Vine Residences Association (the Association) filed this action
against Defendants HEI/GC Hollywood & Vine Condominiums LLC (HEI) and
Webcor Construction L.P. (Webcor). The complaint stems from alleged construction

defects. HEI was the developer on the project, and Webcor was the general contractor.

On May 7, 2024, HEI and Webcor filed a cross-complaint for indemnity against Pan Pacific Mechanical, LLC (Pan Pacific), a subcontractor on the project.

On May 9, 2025, Indian Harbor Insurance Company (Indian Harbor) filed a complaint-in-intervention against Peter Kraut (Kraut) and South Coast Engineering Group, Inc. (South Coast) for indemnity and contribution. Indian Harbor filed an amended complaint-in-intervention on June 25, 2025. Indian Harbor is the insurer for Pan Pacific. Indian Harbor alleges that Kraut and South Coast are responsible for the defective plumbing system which led to the cross-claims against Pan Pacific.

On June 4, 2025, pursuant to a settlement, the Court entered the Association's request for dismissal of the complaint against HEI and Webcor.

On June 23, 2025, pursuant to that same settlement, the Court entered HEI's and Webcor's request for dismissal of the cross-complaint against Pan Pacific.

On April 1, 2026, Kraut and South Coast filed a cross-complaint for indemnity against Pan Pacific.

Effectively, the only claims left are between Pan Pacific and its insurer (Indian Harbor) on the one hand, and Kraut and South Coast on the other. Indian Harbor, having paid the settlement on behalf of Pan Pacific, presently seeks indemnity from Kraut and South Coast. Kraut and South Coast, in turn, seek indemnity from Pan Pacific.

On August 7, 2026, Pan Pacific filed the instant demurrer to Kraut's and South Coast's cross-complaint. Kraut and South Coast filed an opposition on August 31, 2026. Pan Pacific filed a reply on September 4, 2026.

LEGAL STANDARD

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or by proper judicial notice. (Code Civ. Proc., § 430.30(a).) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal.App.3d 902, 905.) "California law emphasizes ultimate fact pleading (with some exceptions, notably for fraud and related torts) 'in ordinary and concise language,' and the test for adequacy is not absolute but 'whether the pleading as a whole apprises the adversary of the factual basis of the claim.'" (Lim v. The TV Corp. Internat. (2002) 99 Cal.App.4th 684, 690.)

MEET AND CONFER

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., §§ 430.41, 435.5.) The Court finds that Cross-Defendant has satisfied the meet and confer requirement. (See Prountzos Decl.)

DISCUSSION

"Subrogation is defined as the substitution of another person in place of the creditor or claimant to whose rights he or she succeeds in relation to the debt or claim." (American States Ins. Co. v. National Fire Ins. Co. (2011) 202 Cal.App.4th 692, 701.) "In the case of insurance, subrogation takes the form of an insurer's right to be put in the position of the insured in order to pursue recovery from third parties legally responsible to the insured for a loss which the insurer has both insured and paid." (Ibid.) "The subrogated insurer is said to 'stand in the shoes' of its insured, because it has no greater rights than the insured and is subject to the same defenses assertable against the insured." (Ibid.)

Kraut and South Coast seek indemnity from

Pan Pacific to the extent they are held liable to Indian Harbor. However, Indian Harbor, as Pan Pacific's insurer, stands in the shoes of Pan Pacific in the complaint-in-intervention. Thus, Indian Harbor's claims against Kraut and South Coast are not true third-party claims for which Kraut and South Coast may seek indemnity from Pan Pacific. There is no "joint legal obligation to another for damages." (See *C.W. Howe Partners Inc. v. Mooradian* (2019) 43 Cal.App.5th 688, 700, emphasis added.) An indemnity agreement does not cover first-party claims unless the parties expressly agree to do so. (*Alki Partners, LP v. DB Fund Services, LLC* (2016) 4 Cal.App.5th 574, 600-01.) The contract in this case provides as follows:

The client agrees, to the fullest extent permitted by law, to indemnify and hold harmless South Coast Engineering Group, Inc., its officers, directors, employees, and subconsultants against all damages, liabilities or costs including reasonable attorney's fees and defense costs, arising out of or in any way connected with this project or the performance by any of the parties above named of the services under this agreement, excepting only those damages, liabilities or costs attributable to the sole negligence of South Coast Engineering Group, Inc.

(Cross-Compl., Ex. A.)

This does not expressly cover first-party claims. Kraut and South Coast cite to *Hot Rods, LLC v. Northrop Grumman Systems Corp.* (2015) 242 Cal.App.4th 1166 for the proposition that a broadly worded indemnity clause may be interpreted to cover first-party claims. In *Hot Rods*, the indemnity clause covered "any claims, demands, penalties, fees, fines, liability, damages, costs, losses, or other expenses" and defined "claim" as "any claim or demand by any Person for any alleged liabilities." (*Id.* at p. 1181.) The clause then defined "person" as "any person, employee, individual, corporation, unincorporated association, partnership, trust, federal, state or local governmental agency, authority or other private or public entity." (*Ibid.*) The court found that "the parties expressly adopted a broad definition of 'claim' and 'person' that encompasses 'any alleged liabilities,' and covers both first and third party claims." (*Ibid.*)

By contrast, the indemnity clause in

this case contains no such language. The court in Alki distinguished Hot Rods for this precise reason, finding that “the indemnity provision in Hot Rods, LLC is significantly different” and that “[n]o such language appears in the Alki Partners-Hedgeworks indemnity provision.” (Alki, *supra*, 4 Cal.App.5th at p. 605.) The indemnity clause in Alki provided that “Alki Partners will ‘indemnify’ Hedgeworks for all losses, including attorney fees ‘resulting in any way from the performance or non-performance of [Hedgeworks’s] duties hereunder.’” (Id. at p. 602.) The court in Alki found that this clause was “indistinguishable from the provision considered in Carr, where the indemnitor promised to indemnify ‘against all claims, damages, losses and expenses including attorney fees arising out of the performance of the work described herein.’” (Ibid., quoting Carr Business Enterprises, Inc. v. City of Chowchilla (2008) 166 Cal.App.4th 14, 19.) The clause in Alki was also “indistinguishable from the indemnity provision in Myers, which indemnified ‘every claim’ arising ‘out of the performance of the contract.’” (Ibid., quoting Myers Building Industries, Ltd. v. Interface Technology, Inc. (1993) 13 Cal.App.4th 949, 974.) The indemnity clause in this case is also indistinguishable from the ones in Alki, Carr, and Meyers, which only covered third-party claims. Because the claims asserted in Indian Harbor’s complaint-in-intervention are essentially first-party claims between Pan Pacific and Kraut/South Coast, the agreement does not require Pan Pacific to indemnify Kraut/South Coast for those claims.

Interstate Fire & Casualty

Ins. Co. v. Cleveland Wrecking Co. (2010) 182 Cal.App.4th 23, cited by Kraut and South Coast, does not compel a different conclusion. In that case, the subcontractor breached its agreement with the general contractor by failing to defend and indemnify the general contractor against a personal injury claim. The general contractor’s insurer funded the general contractor’s settlement with the injured individual. The insurer then filed a subrogation action against the subcontractor to recover the amounts it incurred in defending and settling the underlying claims. (Id. at pp. 28-31.) The issue was whether the insurer could maintain a subrogation action against the subcontractor. (Ibid.) The subcontractor argued that the insurer “was not in a superior equitable position” and that the “alleged breach of contract had not caused any damage.” (Ibid.) The court disagreed with the subcontractor and concluded that the insurer had stated a valid subrogation claim. (Id. at pp. 32-50.)

Interstate Fire is inapposite

because the issue here is not whether Indian Harbor has a valid subrogation claim against Kraut and South Coast. Rather, the issue is whether Kraut and South Coast may seek indemnity from Pan Pacific for the subrogation claims asserted by Indian Harbor. Interstate Fire did not contend with this issue and does not support the proposition asserted by Kraut and South Coast.

In sum, Kraut and South Coast cannot seek indemnity from Pan Pacific for the claims asserted by Pan Pacific's own insurer. Indian Harbor stands in the shoes of Pan Pacific and is enforcing Pan Pacific's indemnity rights under the agreement with Kraut and South Coast. Kraut and South Coast cannot make Pan Pacific indemnify them for their own indemnification obligation to Pan Pacific. This is a circular claim which would effectively nullify Kraut's and South Coast's indemnity obligations under the agreement, a result not supported by the law.

The remaining claims for contribution, apportionment, and declaratory relief are derivative and fail for the same reasons. Moreover, to the extent Kraut and South Coast contend their liability should be reduced or negated because Pan Pacific shares some or all of the fault, that should be asserted as a defense rather than an affirmative claim against Pan Pacific.

CONCLUSION

Cross-Defendant Pan Pacific

Mechanical, LLC's demurrer is SUSTAINED without leave to amend.